



Can a company afford the dividends it promises?

By comparing a company's profit with the amount it pays in dividends over several years, investors can judge if that company is a good long-term bet for providing a future income stream. Older, larger, and more established companies with steady earnings tend to pay healthy dividends, although their share value may not rise by much.



NEED TO KNOW

› Preferred share

Share that entitles the holder to a fixed dividend that is prioritized over ordinary share dividends.

› Dividend cover

How many times over the dividend could be paid out of the company's profit.

Company B

- › Much-hyped float on the stock exchange.
- › Offers high dividends but value soon falls.

Poor dividends likely

\$ \$

- › **The company reduces the dividend**—a signal of rocky financial times ahead.

\$ \$ \$

- › **There is a fall in profits** and the company must borrow in order to cover its dividend payouts.

\$ \$ \$

- › **The share value falls**, meaning the initially high yield offered on dividends is short-lived.